ADVANCED FINANCIAL REPORTING I

UNIT 2: PRINCIPLES FOR CONSOLIDATED FINANCIAL STATEMENTS

Session 5: IFRS 8: Operating Segment

Unit 2 session 3 focuses on the provisions of IFRS 8, operating segment, a disclosure standard that provides guidance on entities to provide information that will enable users to assess the Segmental information has an important role in external reporting, by providing information to investors and to the market which assist their understanding of an entity's results for the year.

The core principle set out in IFRS 8 requires an entity to disclose information that enables users of the financial statements to evaluate the nature and financial effects of the business activities in which the entity engages and the economic environment in which it operates. This should be considered when an entity forms its judgements about how and what information should be disclosed.

Session Objectives

After reading this session, students should be able to:

1. Define the key terms in the standard.
2. Use threshold criteria to establish reportable segments.
3. Outline the disclosure requirements in IFRS 8

Scope

IFRS 8 applies to:

1. The separate or individual financial statements of an entity:
    a) Whose debt or equity instruments are traded in a public market (a domestic or foreign stock exchange or an over- the- counter market, including local and regional markets); or
    b) That files, or is in the process of filing, its financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market; and
2. The consolidated financial statements of a group with a parent:
    a) Whose debt or equity instruments are traded in a public market (a domestic or foreign stock exchange or an over- the- counter market, including local and regional markets); or
    b) That files, or is in the process of filing, the consolidated financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market.

Where an entity voluntarily applies this IFRS, the entity must comply with all the requirements in this IFRS. If the entity does not comply with all the requirements, such information cannot be disclosed as segment information.

If a financial report contains both the consolidated financial statements of a parent that is within the scope of this IFRS as well as the parent's separate financial statements, segment information is required only in the consolidated financial statements.

A regulatory requirement to file financial statements does not equate to financial statements linked to the process of issuing instruments to a public market. In such instances, the entity would not be subjected to the disclosure requirements of IFRS 8.

For entities that operate in a variety of classes of business, geographical locations, regulatory or economic environments or markets, high quality management accounts are essential. They enable management to monitor performance, allocate resources and devise business and market strategies.

IFRS 8 'Operating Segments' requires much of this management information for public listed entities to be published externally so that investors, analysts and other users of entities' financial statements can review an entity's operations from the same perspective as management.

Key Definitions

Chief Operating Decision Maker (CODM)-The individual or group of individuals who is/are responsible for strategic decision making regarding the entity. The CODM allocates resources and assesses performance of the operating segment.

Operating segment. A component of an entity:

- That engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other com ponents of the same entity);
- Whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segments and assess its performance; and
- For which discrete financial information is available.

Reportable segment. It is an operating segment that:

- Have been identified in accordance with the above definition or result from aggregating two or more of those segments in accordance with aggregation criteria; and
- Exceed the quantitative thresholds.

The Concept and Requirements of IFRS 8

The standard establishes how an entity is to report information about its operating segments in annual financial statements. Additionally, due to a consequential amendment made to IAS 34, entities are required to report selected information about their operating segments in interim financial reports, when interim reports are issued. IFRS 8 also sets out requirements for related disclosures about products and services, geographical areas and major customers.

IFRS 8 does not define but requires an explanation of how segment profit or loss, segment assets and segment liabilities are determined and measured for each reportable segment. It also requires general and entity-wide disclosures, including information about products and services, geographical areas, major customers and important factors used to identify an entity's reportable segments.

IFRS 8 requires that an entity report financial and descriptive information about its reportable segments. Generally, segment financial information is required to be reported on the same basis as is used internally for evaluating operating segment performance and deciding how to allocate resources to operating segments. This assists users to evaluate management performance.

The reporting entity is required by IFRS 8 to report a measure of segment liabilities and income and expense items if such measures are regularly provided to the chief operating decision maker.

It requires reconciliations of total reportable segment revenues, total profit or loss, total assets, liabilities and other amounts disclosed for reportable segments to cor responding amounts in the entity's financial statements.

Disclosures are required about the revenues derived from the reporting entity's products or services (or groups of similar products and services), and about the countries in which it earns revenues and holds assets and about major customers. However, information that is not prepared for internal use need not be reported if the necessary information is not available and the cost to develop it would be excessive.

Descriptive information about the way the operating segments were determined, the products and services provided by the segments, differences between the measurements used in reporting segment information and those used in the entity's financial statements, and changes in the measurement of segment amounts from period to period must also be provided in the notes to the financial statements. This information is necessary for users to meaningfully interpret the operating segment financial data, including making comparisons to prior periods.

Operating Segments and Reportable Segments
The reporting entity must first determine its operating segments and then identify which of those operating segments are reportable segments.

Determination of operating segments
The three characteristics set forth in the definition of operating segment form the basis of determining an operating segment. Revenue generation is not an absolute threshold test. An operating segment may engage in business activities for which it has yet to earn revenues; for example, start- up operations may be operating segments before earning revenues.

Not every part of an entity is necessarily an operating segment or part of an operating segment; for example, a corporate headquarters, or functional departments, which may earn no revenues, or may generate revenues that are merely incidental to the activities of the entity. These would not be deemed to be operating segments under the definitions set forth under IFRS 8.

For the purposes of IFRS 8, an entity's post- employment benefit plans are not operating segments either. In situations where all of the segment's revenues and expenses are derived from intra- group transactions, these segments may still qualify as operating segments. Such a situation may occur in a vertically integrated operation. Vertically integrated operations are structures that combine many or all of the production and selling processes within one entity.

For many entities, the three characteristics of operating segments set forth above will serve to clearly identify its operating segments. In other situations, an entity may produce reports in which its business activities are presented in a variety of ways (particularly in so- called "matrix organisation" structures, where there are multiple and overlapping lines of reporting responsibilities). The chief operating decision maker should review segment definitions to ensure accuracy and consistency.

A discontinued operation can meet the definition of an operating segment, if it continues to engage in business activities, the operating results are regularly reviewed by the chief operating decision maker and there is discrete financial information available to facilitate the review.

In some instances, it may be difficult to determine the operating segments. Factors to consider when identifying the operating segments include:

1. The entity has managers responsible for each product area;
2. The entity has just one sales manager;
3. The chief operating decision maker receives information regularly on development costs of new products and employee numbers in each product area;
4. Information on each product area is regularly supplied to the whole board; or

5. The board only receives information on total sales of the entity

Chief operating decision maker (CODM)
The term "chief operating decision maker" does not necessarily refer to a person but rather to a function; the function being the ability to allocate resources to operating segments and assessing their performance. Generally, a board of directors that consist of both executive and non-executive directors cannot be seen as the chief operating decision maker as the non- executive directors are not involved in the day- to- day operations, except at a very high level. Non- executive directors' role is generally that of a governance role rather than a management role.

Reportable segments
Only reportable segments give rise to the financial statement disclosures set forth by IFRS 8. Reportable segments are operating segments as defined above, or aggregations of two or more such operating segments, that exceed the quantitative thresholds described below.

Two or more operating segments may optionally be aggregated into a single operating segment if aggregation is consistent with the core principle of IFRS 8, the segments have similar economic characteristics and segments are similar in each of the following respects:

1. The nature of the products and services;
2. The nature of the production processes;
3. The type or class of customer for their products and services;
4. The methods used to distribute their products or provide their services; and
5. If applicable, the nature of the regulatory environment, for example banking, insurance or public utilities.

It should be noted that the aggregation criteria are tests and not indicators and that all criteria must be satisfied before operating segments may be aggregated. The process for determining reportable segments is not straightforward; IFRS 8 has a useful flowchart that can assist in the determination of reportable segments. This flowchart is summarised below:

1. Identify operating segments;
2. Determine whether any operating segments meet all the aggregation criteria and, if so, aggregate them;
3. Review the identified operating segments and aggregated groups of operating segments to see if they individually meet the quantitative thresholds. Those that do are treated as reportable segments;
4. For the remainder, check whether any of the identified operating segments or aggregated groups of operating segments meet a majority of the aggregation criteria. If they do, aggregate them and treat as reportable segments if desired.

Individual operating segments can also be treated as reportable segments even if they are not aggregated with another segment or do not meet the quantitative threshold;

5. Test whether the external revenues of reportable segments identified so far represent 75% or more of the entity's external revenue. If they do, then aggregate the remaining segments into a segment called "All other segments," which is not a reportable segment as defined by IFRS 8. If they do not, then additional reportable segments must be identified until the total of reportable segments reaches the 75% point.

The 10% Quantitative Thresholds

Once it has been determined which operating segments may be aggregated, any one of the following quantitative thresholds must also be met when identifying reportable segments:

1. The segment's reported revenue, including both sales to external customers and intersegment sales or transfers, is 10% or more of the combined revenue, internal and external, of all operating segments
2. The absolute amount of its reported profit or loss is 10% or more of the greater, in absolute amount, of: (i) the combined reported profit of all operating segments that did not report a loss, and (ii) the combined reported loss of all operating segments that reported a loss;
3. Its assets are 10% or more of the combined assets of all operating segments.

Furthermore, if the total external revenue reported by operating segments constitutes less than 75% of the entity's revenue, additional operating segments must be identified as reportable segments, even if they do not meet the criteria established under IFRS 8, until at least 75% of the entity's revenue is included in reportable segments.

Example of determining reporting segments

Example 1

Below are details of the operating segments of which information is provided to the chief operating decision maker.

Segment	Sales GH¢	Profit GH¢	Loss GH¢	Assets GH¢
A	700,000	300,000		500,000
B	500,000		250,000	1,000,000
C	2,300,000		1,000,000	1,500,000
D	900,000		450,000	600,000
E	800,000	200,000		1,000,000
F	4,000,000	2,700,000		1,000,000
Total	**9,200,000**	**3,200,000**	**1,700,000**	**5,600,000**

Required: With reference to the provisions of IFRS 8 *Operating Segments*, which segments are reportable and which segments are not reportable?

Suggested answer

To determine the reportable segments:

1. Calculate the 10% thresholds.

	GH¢
• 10% revenue threshold (10%x9,200,000)	920,000
• 10% of the greater of profit or loss (10%x3,200,000)	320,000
• 10% of the total assets (10%x5,600,000)	560,000

2. Compare each segment revenue/sales, profit, loss and assets with the thresholds calculated.

Segment	Sales threshold met	Profit/Loss threshold met	Assets threshold met	Reportable Segment
A	No	No	No	No
B	No	No	Yes	Yes
C	yes	Yes	Yes	Yes
D	No	Yes	Yes	Yes
E	No	No	Yes	Yes
F	yes	Yes	Yes	Yes

Note: Segment A did not meet any of the 10% thresholds and therefore is not reportable. The rest met at least one or more of the thresholds and are therefore reportable. In this example, the revenue is not reported as external/internal therefore the 75% test cannot be performed.

Example two

Below are details of operating segment of an entity. Determine which of the segments are reportable. Justify your answer.

Operating Segments	External Revenue	Internal Revenue	Profit/Loss	Assets
	GH¢ '000			
1	-	48,000	(3,600)	10,800
2	368,000	16,000	(24,000)	96,000
3	44,000	9,000	38,000	9,000
4	48,000	-	(46,400)	12,000
5	46,000	-	4,600	13,000
6	50,000	6,000	5,800	36,000
Total	**556,000**	**79,000**	**(25,600)**	**176,800**

Suggested answer **GH¢**

- 10% revenue = 10% of (556,000+79,000) = 63,500
- 10% of greater of profit or loss = 10% x(73,600 loss) = 7,360
- 10% of assets = 10% of 176,800 17,680
- 75% of external revenue = 75% of 556,000 417,000

- Segment 1 is not reportable – it does not meet any of the thresholds.
- Segment 2 is reportable - it meets all the thresholds.
- Segment 3 is reportable – its profit of GH¢38,000 is above the threshold of GH¢7,360.
- Segment 4 is reportable – its loss of GH¢46,400 meets the threshold of GH¢7,360
- Segment 5 is not reportable – does not meet any of the thresholds.
- Segment 6 is reportable – its assets of GH¢36,000 is more than the thresholds of GH¢17,680.
- The total external revenue of reportable segments 2, 3, 4 and 6 = GH¢510,000 which is 92% and more than the 75% threshold of GH¢417,000.

Disclosures

A reporting entity is required to disclose information to enable users of its financial statements to evaluate the nature and financial effects of the business activities in which it engages and the economic environment in which it operates.

The reporting entity is required to disclose the following for each period for which a statement of comprehensive income is presented:

1. General information:
   a) The factors used to identify the entity's reportable segments, including the basis of organisation (for example, whether management has chosen to organise the entity around differences in products and services, geographical

areas, regulatory environments, or a combination of factors, and whether operating segments have been aggregated);

b) The judgements made by management in applying the aggregation criteria in paragraph 12 of IFRS 8. This includes a brief description of the operating segments that have been aggregated in this way and the economic indicators that have been assessed in determining that the aggregated operating segments share similar economic characteristics; and

c) The types of products and services from which each reportable segment derives its revenues.

2. Information about reported segment profit or loss, including specified revenues and expenses included in reported segment profit or loss, segment assets, segment liabilities and the basis of measurement, as follows:

   a) A measure of profit or loss for each reportable segment;

   b) A measure of total assets and liabilities for each reportable segment if such amounts are regularly provided to the chief operating decision maker.

   c) The following information about each reportable segment if the specified amounts are included in the measure of segment profit or loss reviewed by the chief operating decision maker or are otherwise regularly provided to the chief operating decision maker even if not included in that measure of segment profit or loss:

      i. Revenues from contracts with customers.

      ii. Revenues from transactions with other operating segments of the same entity.

      iii. Interest revenue.

      iv. Interest expense.

      v. Depreciation and amortisation;

      vi. Material items of income and expense disclosed in accordance with IAS 1(IFRS 18 will replace IAS 1 from Jan 1, 2027), Presentation of Financial Statements;

      vii. The entity's interest in the profit or loss of associates and joint ventures accounted for by the equity method;

      viii. Income tax expense or income; and

      ix. Material non- cash items other than depreciation and amortisation.

      x. An entity is to report interest revenue separately from interest expense for each reportable segment unless a majority of the segment's revenues are from interest and the chief operating decision maker relies primarily on net interest revenue to assess the performance of the segment and make decisions about resources to be allocated to the

segment. In that situation, an entity may report that segment's interest revenue net of its interest expense and disclose that it has done so.

d) The reporting entity is to disclose the following about each reportable segment if the specified amounts are included in the measure of segment assets reviewed by the chief operating decision maker or are otherwise regularly provided to the chief operating decision maker, even if not included in the measure of segment assets:
   i. The amount of investment in associates and joint ventures accounted for by the equity method; and
   ii. The amounts of additions to non- current assets other than financial instruments, deferred tax assets, net defined benefit assets and rights arising under insurance contracts. If the entity does not present a classified statement of financial position, non- current assets are to be deemed those that include amounts expected to be recovered more than 12 months after the date of the statement of financial position.

e) An entity shall provide an explanation of the measurements of segment profit or loss, segment assets and segment liabilities for each reportable segment. At a minimum, an entity shall disclose the following:
   i. The basis of accounting for any transactions between reportable segments;
   ii. The nature of any differences between the measurements of the report able segments' profits or losses and the entity's profit or loss before tax and discontinued operations (if not apparent from reconciliations as per Point 3 below);
   iii. The nature of any differences between the measurements of the reportable segments' assets and the entity's assets operations (if not apparent from reconciliations as per Point 3 below);
   iv. The nature of any differences between the measurements of the reportable segments' liabilities and the entity's liabilities operations (if not apparent from reconciliations as per Point 3 below);
   v. The nature of any changes from prior periods in the measurement meth ods used to determine reported segment profit or loss and the effect, if any, of those changes on the measurement of segment profit or loss; and
   vi. The nature and effect of any asymmetrical allocations to report able segments.

3. Reconciliations of the totals of segment revenues, reported segment profit or loss, segment assets, segment liabilities and other material segment items to corresponding entity amounts as follows:
   a) The total of the reportable segments' revenues to the entity's revenue;
   b) The total of the reportable segments' measures of profit or loss to the entity's profit or loss before tax expense (tax income) and discontinued operations. How ever, if an entity allocates to reportable segments items such as tax expense (tax income), the entity may reconcile the total of the segments' measures of profit or loss to the entity's profit or loss after those items;
   c) The total of the reportable segments' assets to the entity's assets if the segment assets are reported in accordance with Point 2 above;
   d) The total of the reportable segments' liabilities to the entity's liabilities if segment liabilities are reported to the entity's chief operating decision maker;
   e) The total of the reportable segments' amounts for every other material item of information disclosed to the corresponding amount for the entity.

Entity-wide disclosures

IFRS 8 also mandates disclosures of certain entity- wide data. These disclosures are required regardless of whether the entity has multiple reportable segment disclosures to be made under this standard. These disclosures need not be provided, if already part of the reportable segment disclosures.

- Revenues from external customers for each product and service,
- or each group of similar products and services. Revenues from external customers attributed to the entity's
- country of domicile and attributed to all foreign countries from which the entity derives revenues. Revenues from external customers attributed to an individual
- foreign country, if material. Non-current assets (other than financial instruments, deferred tax
- assets, post-employment benefit assets, and rights arising under insurance contracts) located in the entity's country of domicile and in all foreign countries in which the entity holds assets. Non-current assets in an individual foreign country, if material.
- Extent of reliance on major customers, including details if any customer's revenue is greater than 10% of the entity's revenue.